



Murder, manslaughter, (other) unlawful killing, forfeiture, and policy construction

Richard Buttle, Claims Counsel, 01 March 2012

Agenda

- Setting the scene – some preliminaries
- Some shorthand definitions: murder, manslaughter, etc
- Relevant legal principles/law: fortuity, public policy and forfeiture
- On assignees and getting pro-active
- Going off piste: on death warrants, and moral duty
- A distillation of typical cover scenarios
- Joint life policies – a question of policy construction and law
- Case study 1: joint life
- Case study 2: murder most foul
- Closing remarks
- Questions

Setting the scene – some preliminaries

- Complexity as to: facts, policy construction, and law ☹️?(uncharted waters)
- A 'scamper' through only - legal advice as an imperative
- Typical factual scenario: spouse/(civil or other) partner murder/manslaughter/(other) unlawful killing
- Typical cover scenarios:
 - own life, life of another, joint life
 - assigned/unassigned
 - trustees?
- Legal question: who is **entitled** to claim/benefit personally and who is **disentitled**?
- Moral question: who **should/should not** be allowed to benefit?
- Perpetrator of crime: as 'killer'/'H'/'K'



Some shorthand definitions: murder, manslaughter, and (other) unlawful killing

- Murder: person of sound mind (i.e. sane) kills another with intent to kill or cause really serious bodily harm
- Voluntary manslaughter: killing with intent for murder but where partial defence applies: namely loss of control, diminished responsibility, or killing pursuant to suicide pact
- Involuntary manslaughter
 - gross negligence manslaughter
 - unlawful and dangerous act manslaughter
- Other unlawful killing offences include: causing death by dangerous driving, or careless driving whilst under influence of drink or drugs, etc...



Relevant legal principles/law (1)

Some caveats.

- An interpretation of strict legal analysis only
- Some aspects of relevant law perceived as both uncertain and unsatisfactory 😊?
- Joint life first death covers: murky (more anon) 😊?
- FOS 'fair and reasonable' view of life
- Ex gratias and children of family/dependants

Relevant legal principles/law (2)

- Absence of fortuity – implied term that (any) cover only in respect of occurrence of insured risks fortuitous to insured
 - i.e. murder, suicide, arson, etc by insured not risks covered
- Public policy/ex turpi causa non oritur actio
 - 'a right of action cannot arise from a base cause'
 - nobody should profit from their own wrongdoing
- Common law forfeiture rule
- Forfeiture as applying to:-
 - murder, and manslaughter: and
 - (other) unlawful killing: e.g. causing death by dangerous driving, etc: and
 - causing death 'in circumstances that are prescribed by law'/criminally unlawful

Relevant legal principles/law (3)

The forfeiture rule in its application (a)

- Killer also includes someone who has unlawfully aided, abetted, counselled or otherwise procured death
- Killer precluded from claiming policy proceeds:-
 - as insured: and
 - as executor/administrator/beneficiary of victim's (wife's?) estate: and
 - as trustee of policy proceeds
- Judicial Trustee Act 1896 ☹️?
 - in absence of release/discharge/renunciation of probate/administration of estate by killer
 - on application of insurer court appointed Judicial Trustee of insurance proceeds (for children?)

Relevant legal principles/law (4)

The forfeiture rule in its application (b)

- Until 31/01/12 where forfeiture rule applies, anyone claiming by through or under killer also barred (children)
- 01/02/12 Estates of Deceased Persons (Forfeiture Rule and Law of Succession) Act 2011
 - if killer entitled to policy proceeds as insured: no change
 - if killer entitled to policy proceeds by will/intestacy of victim but barred by forfeiture rule, deemed to have immediately predeceased victim



Relevant legal principles/law (5)

Forfeiture Act 1982 – relief from forfeiture

- Mitigates potential harsh impact of strict application of forfeiture rule
- Doesn't apply to murder convictions – does apply to assisted suicide or manslaughter, etc convictions
- Court given wide discretion to modify effect of forfeiture rule having regard to: conduct of killer, and victim, and other material circumstances
- On application of killer within 3 months of conviction – but Human Rights Act 1998 beware! 😊?
- Arguably doesn't apply to typical joint life first death and life of another covers (i.e. in absence of any trust) 😊?
- Not impacted by new 2011 Act
- No assignment of interest already forfeit

Relevant legal principles/law (6)

The civil standard of proof

- Asserting murder/manslaughter in absence of any conviction?!
- The cases of Mr K1 and Mr K2
- Onus of proof historically as a moving feast
- Approximating towards beyond reasonable doubt
- Strict proof of fact of death and its attendant circumstances
 - coupled with a 'technical peg' on which to hang Defence
- The fraudulent murderous scheme
- In Re B. House of Lords (as then was) 2008 and later cases
- Balance of probabilities (i.e. binary 51/49) analysis of more probable than not rules OK! – albeit still having regard to inherent (im)probabilities



Where there are assignees: and on getting pro-active

- Bank, building society, other creditor assignee
- Danger of killer benefiting indirectly from policy proceeds discharging joint mortgage
- The duty (?) of insurer, bank/building society, and victim's estate to get pro-active together:-
 - proceedings for declaration as to constructive trust
 - lender assigning policy and mortgage to victim's estate
 - Davitt v Titcumb 1990 variant
 - etc, etc...
- Bottom line – killer should not be allowed to benefit directly or indirectly



Going off piste – on death warrants, and moral duty

A recurrent theme

- H kills W: H domineering bully with history of matrimonial violence
- Socially and culturally isolated W – often poorly educated/illiterate and unemployed
- Murder abroad – lax system of justice/prone to corruption
- Large sum assured
- Cover as a death warrant?
- Moral duty to resist paying killer?
- Normal cost/benefit considerations simply do not apply



Some typical scenarios

A distillation into:-

- Criminal conviction or not
- If murder suspected, duty to investigate, and if appropriate assert
- Life of another – fairly straightforward?
- Own life – the need to ensure that payment only made to executors wholly independent of killer
- Assignee bank/building society – on getting pro-active
- MWPA (or other) trustees – need to ensure payment only made to trustees wholly independent of killer
- Joint life policies – where the going gets tough/complex! 😐?



Joint life (first death) policies – a question of policy construction and law (1)

- A model wording? :-

'Payee

The survivor of the policyholders (to the exclusion of the first to die of the policyholders and/or his/her executors or administrators) the executors or administrators of such survivor, or any bona fide assignee for value of the interest of either of the policyholders.'

- ...or otherwise pointing the policy proceeds directly and exclusively towards the killer, or otherwise as may be intended
- ...but things are rarely that simple!



Joint life (first death) policies – a question of policy construction and law (2)

- The need to get legal advice 😊?
- Murphy v Murphy (2004) Court of Appeal
- The distinction between joint or several covers
- i.e. joint life/joint interest/joint entitlement: or joint life/separate interest/entitlement covers
- Joint: each of H or W or respective estates can claim 100% 😊?
- Joint life/separate/several/composite:-
 - survivor only can claim 100%
 - i.e. bundle of separate (life of another) contracts packaged up together



Joint life (first death) policies – a question of policy construction and law (3)

Joint interest/entitlement or separate/several/composite?

- Construction of the policy:
 - parties' intentions strictly irrelevant/inadmissible
 - look to the wording of policy as a whole (all too often unclear)
 - look behind to purpose of cover/nature of the beast
- Bottom line: in absence of clear wording to contrary, joint life cover alone (i.e. without endowment, savings, CI, TI, etc) construed as several/composite
- Outcome: killer alone could have claimed 100% - but forfeits
- So what next?



Joint life (first death) policies – a question of policy construction and law (4)

- Joint life cover alone: seen as several/composite: i.e. killer alone could have claimed 100% but forfeits
- Endowments and unit-linked joint life covers:- 😐?
 - seen as 'colouring' whole contract
 - purpose seen as joint nest-egg/joint cover
 - i.e. H or W (or respective estates) can claim 100% on all benefits
 - H forfeits. W's estate claims 100%
- Joint life plus CI and/or TI:- 😐?
 - look for what is bolted on to what?
 - i.e. what is primary/'dominant' cover?
- If joint life primary cover – life cover is several/composite: and CI/TI cover is seen as joint 😐?
- If CI/TI is primary cover – will 'colour' whole contract which is seen as joint 😐?



Joint life (first death) policies – a question of policy construction and law (5)

The conclusion/moral?

- What a mess!
- Complete clarity in policy wording required as to destination of policy proceeds?
- Loose end: joint covers and implied term as to fortuity
- The Law Commission doesn't want to go there



Case study 1 – joint life first death covers with/without other menu benefits

- 2000 3x policies IF when H and W (mid 20s) purchase matrimonial home
- 2007 H murders W
- Murder conviction. H cannot claim/benefit – absence of fortuity, public policy
- Question: can W's estate claim?
- Policy 1. 'Flexible Mortgage Plan' – 'unitised with profits endowment' with joint life first death cover + TI + CI
 - endowment with TI plus CI 'coloured' whole contract. Life cover ancillary
 - wholly joint cover – W's estate can claim 100%
- Policy 2. 'Decreasing term without profits' – joint life first death cover
 - several/composite cover. H alone could have claimed but forfeits
 - W's estate cannot claim
- Policy 3. 'Critical Illness Cover, Without Profits' – joint life first death cover + CI + TI
 - what is primary/dominant cover? What is bolted on to what? etc... conceded as wholly joint cover. W's estate can claim 100%

Case study 2

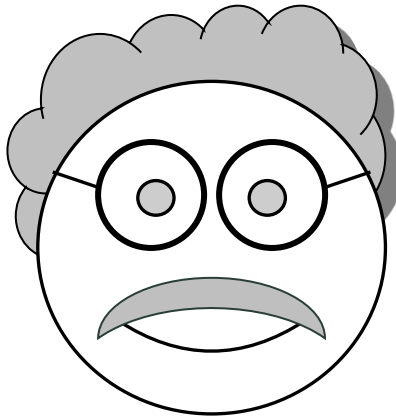
- 1992. Policy 1. Insurer A. £50K payable to 'the policyholders' on first death of H or W: i.e. H or W's estate can claim 100%
- 1995. Policy 2. Insurer B. £60K payable to survivor of H or W on first death: i.e. H alone can claim 100%
- 2006 onwards history of serious matrimonial violence of H against W. H and W separate.
- 2007 onwards W suffers from depression and other material subsequently undisclosed health problems including suspected breast cancer
- 2009 August Policy 3. Insurer C. £600K. H obtains own life cover for W: i.e. W's estate can claim 100% > H as executor/beneficiary
- 2009 September Policy 4. Insurer C. £200K. H obtains accidental death cover for W: i.e. W's estate can claim 100% > H as executor/beneficiary
- 2009 November. W murdered allegedly by intruders whilst staying at H's family home in India. Criminal proceedings against H in India abandoned
- 2010 November. Insurer C declines claims – asserts H murdered W as part of murderous scheme to defraud Insurer C - + H/W non-disclosed material health matters + address etc...
- 2010 December. Insurer A & B state position reserved until resolution of all issues between H and insurer C



Closing remarks

- Covers present with significant complexity as to facts, policy construction and law
- Need for greater clarity in policy wording as to intended destination of policy proceeds
- Legal advice in each case as an imperative
- Any underwriters in the house?!
- Insurers public interest duty to do what they can to ensure that killers do not profit by their crimes
- Normal cost/benefit considerations do not apply

Questions?



Thank you





Legal notice

©2012 Swiss Re. All rights reserved. You are not permitted to create any modifications or derivatives of this presentation or to use it for commercial or other public purposes without the prior written permission of Swiss Re.

Although all the information used was taken from reliable sources, Swiss Re does not accept any responsibility for the accuracy or comprehensiveness of the details given. All liability for the accuracy and completeness thereof or for any damage resulting from the use of the information contained in this presentation is expressly excluded. Under no circumstances shall Swiss Re or its Group companies be liable for any financial and/or consequential loss relating to this presentation.